

provision is made. Provisions may be specific or they may be general. When amounts are provided on certain identified debts, the provision is termed specific whereas if a provision amounting to a certain percentage of all debts are made, the provision is termed general.

Prepaid Expenses

All payments are not made when due. Many payments, such as insurance premiums, rent and service costs, are made in advance for a period of time which may be 3 months, 6 months, or even a year. The portion of such expenses that relates to the next accounting period are shown as prepaid expenses in the Balance Sheet.

Cash and Bank Balances

Cash in hand in petty cash boxes, tills, safes, and balances in bank accounts are shown under this heading in the Balance Sheet.

Loans and Advances

These are loans that have been given to other corporations, individuals and employees and are repayable within a certain period of time. This also includes amounts paid in advance for the supply of goods, materials and services.

Other Current Assets

Other current assets are all amounts due that are recoverable within the next twelve months. These include claims receivable, interest due on investments and the like.